

Apple (AAPL US)

iPhone 18 Pro/Pro Max Wait-Time Lukewarm

Maintained **Hold**
Target price \$369

iPhone 18 Pro/Pro Max wait-time lukewarm: iPhone 18 Pro and iPhone 18 Pro Max pre-orders began on Sept 12 in the U.S. and many other countries. Generally speaking, the wait-time appears lukewarm, with: 1) 3–4 weeks for 256GB/512GB Pro Max across all colors, as well as Burgundy 1TB in the U.S. ; 2) 2–3 weeks for Glacier 256GB/512GB Pro Max in China; 3) 1–2 weeks for Black/Glacier 1TB Pro Max in the U.S. ; 4) immediate availability for Silver 1TB and most 2TB Pro Max models in the U.S, as well as most iPhone 18 Pro configurations except for Burgundy 256GB in the U.S. We attribute the lukewarm wait-time to limited spec upgrade, higher pricing (especially for large storage models), etc. We also expect the Pro Max to be impacted by iPhone Duo and the criticism of heavy weight.

iPhone Duo feedback generally positive, yet we lower the build plan: The iPhone Duo, priced at \$1,999 in the U.S., opened pre-orders on Oct 16 and officially launched on Oct 23. Early reviews were **positive**, highlighting its polished folding experience, high-quality inner display, and improved multitasking in iOS 27, but also point to trade-offs including a heavier and thicker form factor, a visible crease, and a dual-camera. Due to hinge constraints, we are reducing the iPhone Duo EMS build plan from 7m to 6m units in 2026. We also lower the iPhone 18 Pro/Pro Max build plan to 72m units given the constraints associated with the adjustable-aperture camera.

Maintain Hold: Driven by investors’ appetite being away from AI capex themes, Apple share price outperformed Nasdaq by 12% since July. Fundamentally, market’s worry about memory cost is being eased but should persist, in our view. We estimate the DRAM/NAND cost to be up from \$0.37 per Gb/\$0.09 per GB in iPhone 17 (initial launch) to \$1.5 per Gb/\$0.25 per GB in iPhone 18 Pro, suggesting likely cost pressure on current pricing. Valuation wise, the share price trades at 32x FY27E P/E with 20% earnings CAGR, suggesting the stock isn’t cheap. We maintain earnings estimates and TP of \$369, based on 35x FY27E.

Risks: 1) weak demand, 2) competition, 3) product delays, 4) geo-tension.

Profit forecast

	FY24	FY25	FY26E	FY27E	FY28E
Revenue (m)	391,035	416,161	477,570	545,303	621,255
Revenue YoY (%)	2.0	6.4	14.8	14.2	13.9
Net profit (m)	93,736	112,010	130,763	152,325	181,307
Net profit YoY (%)	-3.4	19.5	16.7	16.5	19.0
EPS (\$)	6.1	7.5	8.9	10.5	12.6
P/E	44.6	36.3	37.5	31.6	26.5
ROE (%)	157.4	171.4	142.6	119.0	107.9

Source: Company data, GF Securities (Hong Kong) Brokerage.

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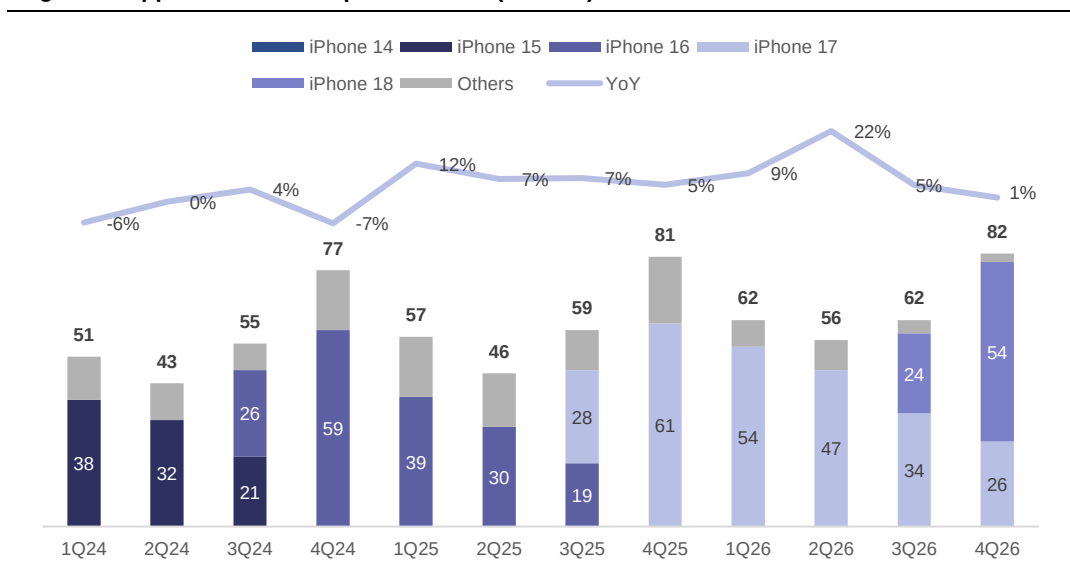
Earnings Forecast

Figure 1: iPhone 18 series starting price by geography

	iPhone 18 Pro	iPhone 18 Pro Max	iPhone Duo
US	\$1,199	\$1,299	\$1,999
Germany	€1,449	€1,599	€2,299
UK	£1,199	£1,299	£1,999
India	₹164,900	₹179,900	₹299,900
China Mainland	¥9,999	¥10,999	¥15,999
Japan	¥219,800	¥239,800	¥364,800
Hong Kong	HK\$10,499	HK\$11,499	HK\$17,499
Taiwan Region	NT\$44,900	NT\$49,900	NT\$74,900

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Apple iPhone build plan forecast (m units)



Sources: Company data, IDC, GF Securities (Hong Kong) Brokerage

Figure 3: Apple's P&L forecast

(USD m)	FY25	F1Q26	F2Q26	F3Q26	F4Q26E	FY26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E	FY27E
Sales	416,161	143,756	111,184	109,417	113,213	477,570	156,712	125,175	130,521	132,894	545,303
COGS	220,960	74,525	56,403	54,647	58,963	244,538	81,415	63,870	67,450	68,664	281,398
Gross profit	195,201	69,231	54,781	54,770	54,250	233,032	75,297	61,306	63,072	64,230	263,905
Opex	62,151	18,379	18,896	19,075	19,200	75,550	20,400	19,800	19,800	20,500	80,500
Operating profit	133,050	50,852	35,885	35,695	35,050	157,482	54,897	41,506	43,272	43,730	183,405
Non-operating profit	-321	150	-52	572	250	920	30	30	30	30	120
Pre-tax profit	132,729	51,002	35,833	36,267	35,300	158,402	54,927	41,536	43,302	43,760	183,525
Income tax	20,719	8,905	6,255	6,478	6,001	27,639	9,338	7,061	7,361	7,439	31,199
Non-GAAP Net Income	112,010	42,097	29,578	29,789	29,299	130,763	45,590	34,475	35,940	36,321	152,325
Non-GAAP EPS (\$)	7.5	2.8	2.0	2.03	2.01	8.90	3.14	2.38	2.49	2.53	10.54
Diluted shares	15,005	14,810	14,726	14,656	14,596	14,697	14,536	14,476	14,416	14,356	14,446
Margin analysis											
Gross margin	46.9%	48.2%	49.3%	50.1%	47.9%	48.8%	48.0%	49.0%	48.3%	48.3%	48.4%
Operating margin	32.0%	35.4%	32.3%	32.6%	31.0%	33.0%	35.0%	33.2%	33.2%	32.9%	33.6%
Pre-tax margin	31.9%	35.5%	32.2%	33.1%	31.2%	33.2%	35.0%	33.2%	33.2%	32.9%	33.7%
Effective tax rate	15.6%	17.5%	17.5%	17.9%	17.0%	17.4%	17.0%	17.0%	17.0%	17.0%	17.0%
Growth (% YoY)											
Sales	6%	16%	17%	16%	10%	15%	9%	13%	19%	17%	14%
Operating profit	8%	19%	21%	27%	8%	18%	8%	16%	21%	25%	16%
Net income	19%	16%	19%	27%	7%	17%	8%	17%	21%	24%	16%
EPS	23%	19%	22%	30%	9%	19%	10%	19%	23%	26%	19%
Product mix (%)											
iPhone	50%	59%	51%	50%	49%	53%	60%	53%	54%	52%	55%
Mac	8%	6%	8%	9%	9%	8%	7%	8%	8%	8%	8%
iPad	7%	6%	6%	6%	5%	6%	5%	5%	5%	5%	5%
Wearables, Home and Accessories	9%	8%	7%	7%	8%	8%	8%	7%	6%	7%	7%
Service	26%	21%	28%	28%	28%	26%	21%	28%	27%	28%	26%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

Hold with TP of \$369

We rate Apple (AAPL US) Hold and set our TP at \$369 which is based on 35x our FY27E EPS estimate. We believe it is important to capture the 2H26-3Q27's iPhone 18 product cycle, given high market interest. We adopt P/E methodology as we believe the market now mainly focuses on the company's earnings outlook, and we usually apply P/E method to downstream firms.

We believe Apple's ecosystem will remain strong and associated revenue durability is high. This is backed by Apple's installed base growth, double digit YoY growth in services. However, the market would wait for visibility for its Apple Intelligence. Meanwhile, the market will need more visibility on the higher-high retail prices for the iPhone 18 series due to the rising cost over tariff and 2nm/memories. That said, we expect its earnings growth to be high-teens to 20% YoY in FY26E-FY28E, from single digit YoY in FY22-FY24. Considering >30x one-year P/E, the stock doesn't look particularly cheap.

Figure 4: Apple's 12-month forward P/E



Sources: Bloomberg, GF Securities (Hong Kong) Brokerage

Risks

1) weak demand, 2) competition, 3) product delays, 4) geo-tension.

Balance Sheet						USD mn
	FY24	FY25	FY26E	FY27E	FY28E	
Current assets	152,987	147,957	149,698	190,299	210,372	
Cash and cash equivalents	98,004	87,877	80,987	111,786	120,987	
Inventory	7,286	5,718	6,328	7,282	8,233	
Accounts Receivable	33,410	39,777	45,646	52,120	59,380	
Other current assets	14,287	14,585	16,737	19,111	21,773	
Non-current assets	211,993	211,284	255,048	254,684	284,656	
Long-term equity investment	91,479	77,723	115,341	110,887	137,877	
Fixed assets	45,680	49,834	55,980	60,070	63,052	
Other long-term assets	74,834	83,727	83,727	83,727	83,727	
Total assets	364,980	359,241	404,747	444,984	495,029	
Current liabilities	176,392	165,631	237,446	245,402	256,039	
Accounts Payable	68,960	69,860	77,314	88,969	100,583	
Short-term borrowings	10,912	12,350	64,401	47,125	30,924	
Other current liabilities	96,520	83,421	95,731	109,308	124,533	
Non-current liabilities	131,638	119,877	57,649	53,330	49,280	
Long-term Debt	85,750	78,328	16,100	11,781	7,731	
Other non-current liabilities	45,888	41,549	41,549	41,549	41,549	
Total liabilities	308,030	285,508	295,095	298,732	305,319	
Total Equity	56,950	73,733	109,652	146,251	189,710	
Share Capital	83,276	93,568	93,568	93,568	93,568	
Additional Paid-in Capital	-	-	-	-	-	
Retained earnings	-26,326	-19,835	16,084	52,683	96,142	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	364,980	359,241	404,747	444,984	495,029	

Income Statement						USD mn
	FY24	FY25	FY26E	FY27E	FY28E	
Revenue	391,035	416,161	477,570	545,303	621,255	
Cost of sales	210,352	220,960	244,538	281,398	318,132	
Gross profit	180,683	195,201	233,032	263,905	303,122	
Operating Expense	57,467	62,151	75,550	80,500	84,800	
Operating profit	123,216	133,050	157,482	183,405	218,322	
Interest Income	269	-	-	-	-	
Interest Expense	-	321	-	-	-	
Net other Non-op. Income/(Loss)	-	-	920	120	120	
Pre-tax profit	123,485	132,729	158,402	183,525	218,442	
Income tax	29,749	20,719	27,639	31,199	37,135	
Profit for the year	93,736	112,010	130,763	152,325	181,307	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	93,736	112,010	130,763	152,325	181,307	
EPS (\$)	6.1	7.5	8.9	10.5	12.6	

Cash Flow Statement						USD mn
	FY24	FY25	FY26E	FY27E	FY28E	
Operating cash flow	118,254	111,482	153,856	178,462	208,846	
Profit for the year	93,736	112,010	130,763	152,325	181,307	
Depreciation & amortization	11,445	11,698	11,961	10,707	11,572	
Change in working capital	25,545	-17,296	11,132	15,430	15,967	
Others	-12,472	5,070	-	-	-	
Investing cash flow	2,935	15,195	-55,619	-13,909	-45,722	
Capex	-13,305	-15,746	-18,001	-18,363	-18,732	
Change in investment	9,065	13,756	-37,618	4,454	-26,990	
Others	7,175	17,185	-	-	-	
Free cash flow	121,189	126,677	98,237	168,226	167,409	
Financing cash flow	-121,211	-120,686	-105,128	-137,426	-158,207	
Change in Capital	-5,196	16,783	-94,844	-115,726	-137,849	
Net Change in Debt	-12,401	-10,323	-10,284	-21,700	-20,359	
Others	-103,614	-127,146	-	-	-	
Exchange influence	-	-	-	-	-	
Net increase in cash	-22	-10,127	-6,890	30,799	9,201	

Key Financial Ratios					
	FY24	FY25	FY26E	FY27E	FY28E
Growth					
Revenue growth	2.0	6.4	14.8	14.2	13.9
Operating profit growth	7.8	8.0	18.4	16.5	19.0
Net profit growth	-3.4	19.5	16.7	16.5	19.0
Profitability					
Gross profit margin	46.2	46.9	48.8	48.4	48.8
Operating Profit Margin	31.5	32.0	33.0	33.6	35.1
Net profit margin	24.0	26.9	27.4	27.9	29.2
Key Ratio					
ROA	26.1	30.9	34.2	35.9	38.6
ROE	157.4	171.4	142.6	119.0	107.9
Stability					
Gross debt/equity	169.7	123.0	73.4	40.3	20.4
Interest Coverage	-	414.5	-	-	-
Current Ratio	0.9	0.9	0.8	1.0	1.0
Quick Ratio	0.8	0.9	0.8	0.9	1.0
Net debt/equity	27.4	13.1	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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